

Recommendations for the Ride-Sharing Company

We have previously evaluated model performance and interpreted feature importance during the exploratory data analysis (EDA) phase. The features used in the final model were carefully chosen through advanced feature engineering techniques. As such, we now present key recommendations based on these insights without repeating the prior analyses.

1. Dynamic Pricing Strategy

Insight: The hour, fare_per_km, and distance_km were among the top features influencing fare predictions.

Recommendation: Implement time-based dynamic pricing, especially during high-demand hours (e.g., 6 PM - 9 PM) to maximize revenue while balancing demand and driver availability.

2. Driver Incentives During Peak Hours

Insight: Evening hours significantly contribute to higher predicted fare values.

Recommendation: Offer incentives to drivers for working during these hours to ensure service availability and reduce customer wait times.

3. Distance-Based Fare Adjustments

Insight: Distance remains a crucial predictor of fare amount.

Recommendation: Consider revisiting pricing slabs for longer distances to optimize profit margins while maintaining affordability for long-distance commuters.